

Background to goods and services tax [¶32-010]

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Goods and services tax (GST) is a broadly based consumption tax that is imposed under the Goods and Services Tax Act 1985 (GST Act) on the supply of goods and services in New Zealand, and on imported goods, on or after 1 October 1986. Although the tax is generally levied at the standard rate, currently 15%, some supplies are taxed at a zero rate and a small number of specified supplies are exempt from the tax.

The definitions of “goods” and “services” are mutually exclusive but together are virtually all-encompassing. The only item to which the GST Act does not apply is “money”, which is also defined. All other commodities are covered by the GST Act. GST is not a tax on business profits or turnover. It is a tax on consumption in New Zealand and is ultimately paid by the consumer or end-user. The tax is paid at each step along the chain of ownership or supply, until the goods or services reach the end-user. GST paid in this way is “collected” by “registered persons” and returned at regular intervals to Inland Revenue (IR) or, in the case of imported goods, to the New Zealand Customs Service.

These registered persons — in effect, suppliers who meet the criteria for registration under the GST Act — account to IR for the GST they have collected and claim a credit for the GST they have paid. By this credit offset system, only a net figure is “returned” by registered persons. The net figure is calculated by deducting the “input tax” (the GST component in supplies made to the registered person) from the “output tax” (the GST component in supplies made by the registered person). Where that net figure is a positive amount (because supplies made exceed supplies received), the taxpayer must pay GST to IR. Where that net figure is a negative amount (because supplies received exceed supplies made), the taxpayer will be entitled to a refund from IR of the excess GST paid.

Last reviewed on 31 December 2025